



Office of Public Affairs
U.S. Department of Justice



Saint Vincents Catholic Medical Centers of New York Agrees to Pay \$29M to Resolve Alleged False Claims Act Violations

Friday, February 14, 2025

For Immediate Release

Office of Public Affairs

SVCMC Inc., formerly known as Saint Vincents Catholic Medical Centers of New York (Saint Vincent), has [agreed](#) to pay \$29 million to resolve allegations that it violated the False Claims Act by knowingly retaining erroneously inflated payments received from the Department of Defense for healthcare services provided to retired military members and their families.

Saint Vincent is one of six health plans participating in the Uniformed Services Family Health Plan (USFHP) program, which is a federal health insurance program funded by the Defense Health Agency (DHA), a component of the Department of Defense. Under the USFHP program, DHA pays Saint Vincent capitated rates to provide healthcare services to military personnel, retirees, and their families. The complaint alleged that, in 2012, Saint Vincent learned that errors had been made in the calculation of the capitated rates resulting in substantial overpayments to Saint Vincent and the other five USFHP plans over the preceding four years. According to the government's complaint, instead of notifying the government of the overpayments or repaying the funds, Saint Vincent, along with the other five USFHP plans, took steps to conceal the existence of the overpayments from DHA, continued to submit invoices at the inflated payment rates, and conspired to avoid paying the money back. Today's settlement resolves the government's claims against Saint Vincent.

"Those who receive public funds, including participants in government health care programs, must return funds to which they are not entitled," said Acting Assistant Attorney General Brett A. Shumate, head of the Justice Department's Civil Division. "Together with our partners across the federal government, we will hold accountable those who knowingly violate this obligation to the American taxpayers."

"I want to thank the Justice Department for resolving this case on behalf of TRICARE and the Defense Health Agency," said Dr. David C. Krulak, Director, TRICARE Health Plan, DHA. "Providing excellent health care to our 9.5 million beneficiaries worldwide is essential to maintaining force readiness and

keeping our promise to our family members and retirees, while being good stewards of taxpayer dollars at the same time."

The civil settlement resolves claims brought under the *qui tam* or whistleblower provisions of the False Claims Act by Jane Rollinson and Daniel Gregorie in the District of Maine. From 2007 to 2015, Ms. Rollinson worked at Martin's Point Health Care, one of the health plans participating in the USFHP program, including as its Interim Chief Financial Officer. Mr. Gregorie was a consultant to the CEO and Board of Martin's Point Health Care and later served on its Board of Trustees. Under the False Claims Act's *qui tam* provisions, a private party can file an action on behalf of the United States and receive a portion of any recovery. The United States may intervene and proceed with the case, as it did here. The *qui tam* case is captioned *United States ex rel. Rollinson v. Martin's Point Health Care, Inc.*, No. 2:16-cv-00447-NT (D. Me.). As part of today's settlement, Ms. Rollinson and Mr. Gregorie will receive \$5.655 million. The United States is continuing to pursue the remaining claims in this case.

The resolution of this matter was the result of a coordinated effort between the Civil Division's Commercial Litigation Branch (Fraud Section) and the U.S. Attorney's Office for the District of Maine, with assistance from the DHA.

The investigation and resolution of this matter illustrates the government's emphasis on combating healthcare fraud. One of the most powerful tools in this effort is the False Claims Act. Tips and complaints from all sources about potential fraud, waste, abuse, and mismanagement, can be reported to the Department of Health and Human Services at 800-HHS-TIPS (800-447-8477).

The matter was handled by Fraud Section Attorneys Diana Cieslak and Evan Ballan and Assistant U.S. Attorneys Andrew Lizotte and Sheila Sawyer for the District of Maine.

The claims resolved by the settlement are allegations only and there has been no determination of liability.

Updated April 25, 2025

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